

YETI Holdings

NYSE : YETI · \$3.12B mkt cap · 73M sh · \$60M cash, \$101M debt · ~\$41M net debt after a ~\$131M Q2 buyback; \$370M authorization left (no dividend);
Mature- Revenue \$1.87B FY25 (+2% trough), H1'26 +8.4%; +7-8% FY26 sales outlook held Aug + Sep '26; ~\$212M FCF; US drinkware flat on three
Company DCF trend SKUs; Stanley/Owala/dupes; China <5% of COGS

\$42.79

THE CENTRAL QUESTION

Is YETI a durable premium brand re-accelerating via international + new categories — or a saturated, fad-cyclical US drinkware brand whose +2% trough caps the multiple?

YETI trades at ~\$3.1B (≈\$42.8/sh), ~15x FY25 free cash flow on \$1.87B revenue. Growth troughed at +2% in FY2025 and re-accelerated to +8.4% in H1'26 on wholesale + international. In August management held its +7-8% FY26 sales outlook while reporting flat US drinkware (three trend SKUs cycling out); Q2 margins carried a one-time ~\$43M tariff-refund credit. The DCF asks whether international + new categories + margin recovery offset the saturating core. Weighted fair value ~\$48 sits ~13% above spot and the modal base ~18% above, with 45% of the probability below the price.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$48.28
expected fair value today
+12.8% vs spot \$42.79

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
\$75.99	\$119.68	\$188.65	\$297.62
1.78x spot	2.80x spot	4.41x spot	6.96x spot

WEIGHTING RATIONALE

Ultra Bear 15% Fad fades; dupes win; ~\$22 (-49%).

Bear 30% US saturated; tariff drag; ~\$37 (-14%).

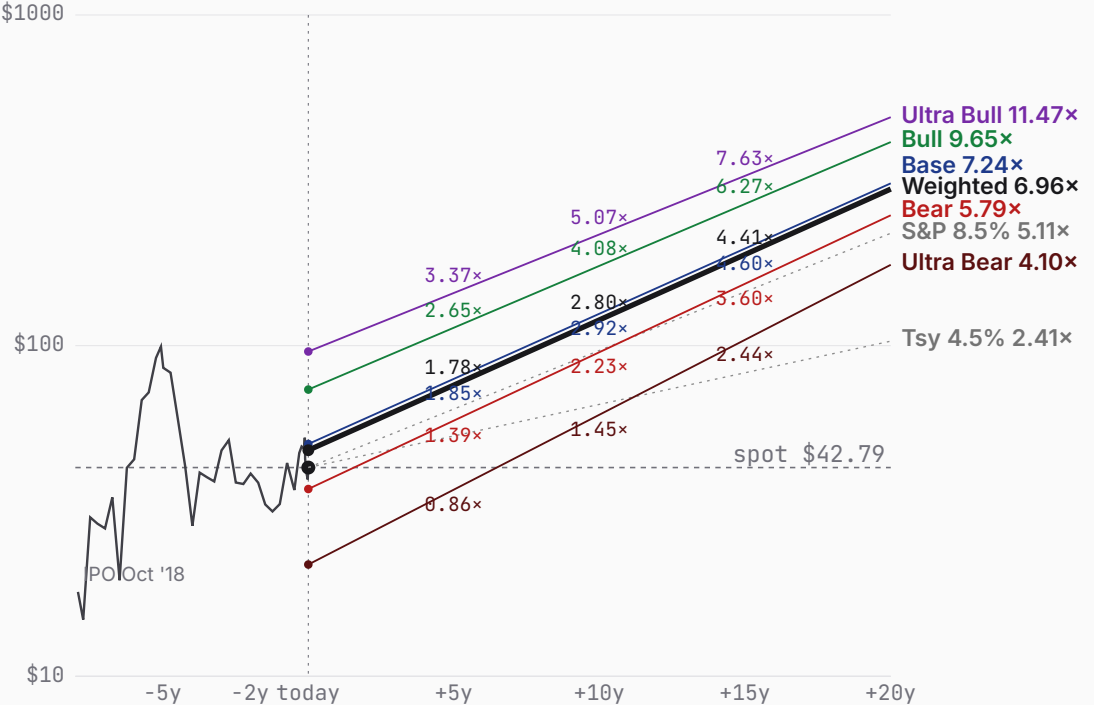
Base 33% Intl + categories offset US; ~\$50 (+18%).

Bull 17% Intl ramps; bags/cookware; ~\$74 (+72%).

Ultra Bull 5% Durable multi-category global brand; ~\$96 (+124%).

Bull (17%) + Ultra Bull (5%) together contribute \$17.32 — 36% of the \$48.28 expected value despite 22% combined probability. Today's spot (\$42.79) sits 11% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR	\$21.78	BEAR	\$36.85	BASE	\$50.42	BULL	\$73.66	ULTRA BULL	\$96.00
	-49.1% vs spot		-13.9% vs spot		+17.8% vs spot		+72.1% vs spot		+124.4% vs spot
CAGR -1.0% WACC 11.0% CAGR -1.0% Prob 15%		CAGR +2.2% WACC 10.0% CAGR +2.2% Prob 30%		CAGR +4.6% WACC 9.5% CAGR +4.6% Prob 33%		CAGR +7.0% WACC 9.0% CAGR +7.0% Prob 17%		CAGR +9.4% WACC 8.5% CAGR +9.4% Prob 5%	
Fad fades; dupes win; US drinkware shrinks.		US saturated; modest; tariff drag lingers.		International + categories offset US; margin recovers.		International ramps; bags/cookware traction.		Durable multi-category global brand.	

AR
2EB

ALAMEDA RESEARCH
2: ELECTRIC BOOGALOO
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

YETI Holdings scenario narratives

PROBABILITY WEIGHTS

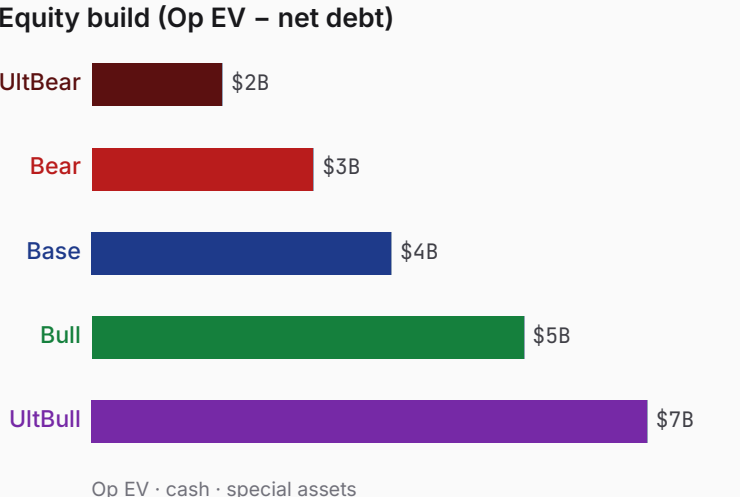
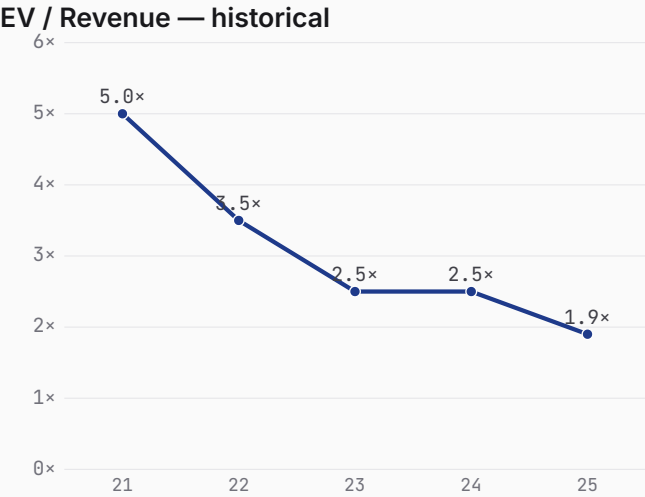
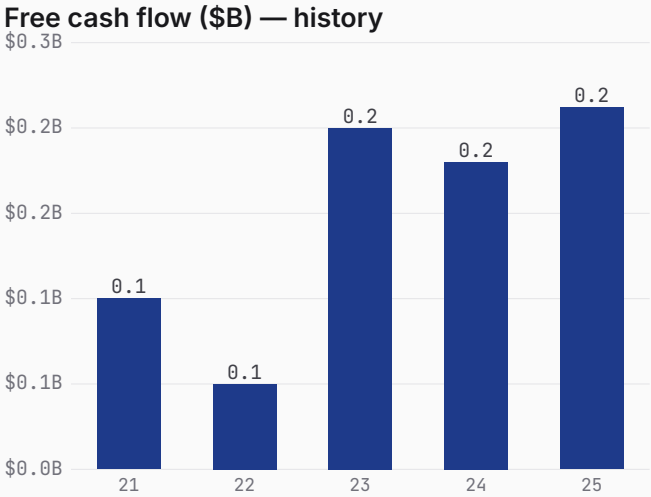
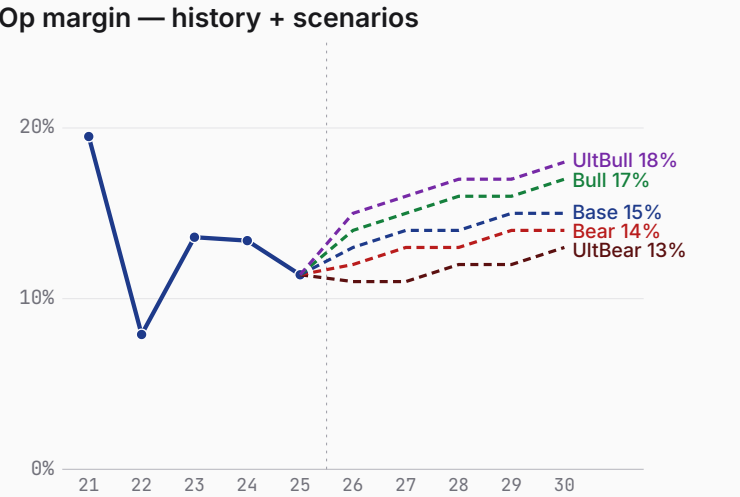
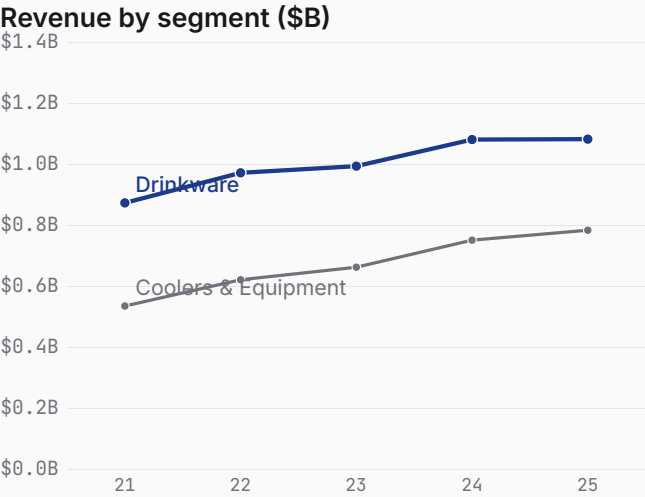
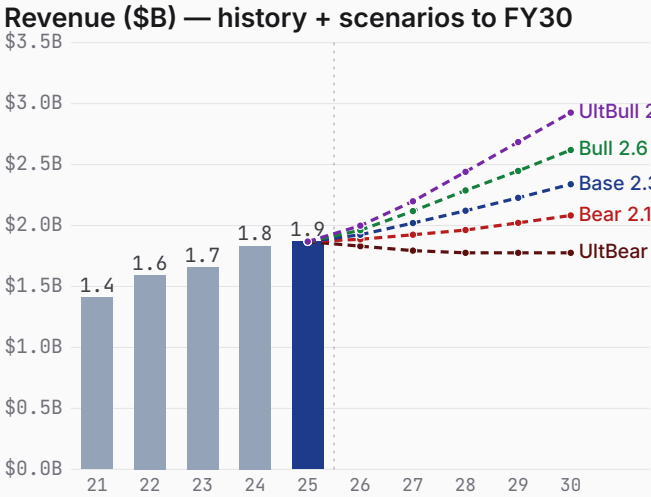
Ultra Bear 15% Bear 30% Base 33% Bull 17% Ultra Bull 5% · Weighted expected \$48.28 (+12.8% vs spot)

ULTRA BEAR	\$21.78	BEAR	\$36.85	BASE	\$50.42	BULL	\$73.66	ULTRA BULL	\$96.00
	-49.1% vs spot		-13.9% vs spot		+17.8% vs spot		+72.1% vs spot		+124.4% vs spot
Probability 15%		Probability 30%		Probability 33%		Probability 17%		Probability 5%	
Fad fades; dupes win; US drinkware shrinks.		US saturated; modest; tariff drag lingers.		International + categories offset US; margin recovers.		International ramps; bags/cookware traction.		Durable multi-category global brand.	
WHY 15%		WHY 30%		WHY 33%		WHY 17%		WHY 5%	
The fad-cyclical bear: drinkware is ~58% of sales and brand heat rotates fast. 15% weight on the trend turning against YETI.		US drinkware stays saturated and the trend doesn't reverse. 30% weight — the plausible 'stalls' path given the +2% trough.		Requires international + new categories + margin recovery, consistent with H1'26's +8.4% and China <5% of COGS. 33% as the central outcome.		International + new categories deliver and margins recover. ~17%; the diversification strategy is credible but unproven at scale.		Full category + geographic diversification works and the brand de-fads. ~5%, the asymmetric upside.	
WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS		WHAT HAPPENS	
The viral tumbler trend rotates away (Stanley→Owala->next), RTIC/private-label dupes arbitrage the premium, and the international/category bets don't offset a shrinking US core. Revenue declines; margins stay tariff-pressured.		The US core stays saturated and tariffs keep margins below peak; international + categories grow but only enough to keep the total roughly flat-to-low.		The modal path: international (toward 25% of revenue) + bags/cookware offset a stabilizing US core, and margins recover as tariffs annualize and China-sourcing exits. Revenue compounds ~5%.		International scales past 25%, Mystery Ranch bags + cookware become real categories, and margins recover toward mid-teens — the brand proves durable beyond fad-cyclical drinkware.		YETI becomes a durable multi-category premium-outdoor brand (drinkware + coolers + bags + cookware) with international as a second engine, compounding ~10% at recovered margins.	
DCF ~\$22 (~49%) — a fad-exposed brand losing its core earns a distressed multiple.		DCF ~\$37 (~14%) — a dominant-but-stalled brand at ~11x FCF, below today's price.		DCF ~\$50 (+18%) — modestly above today's price; the growth/margin recovery H1'26's +8.4% hints at.		DCF ~\$74 (+72%) — category + geographic diversification re-rates the brand.		DCF ~\$96 (+124%) — the brand transcends the drinkware fad; ~5% probability.	

YETI Holdings business snapshot

Bear \$36.85 Base \$50.42 Bull \$73.66

FY21-FY25 history + FY26-FY30 scenario projections · 52/53-week fiscal year · FY2025 (Jan'26) + H1'26 results



Sources: YETI FY2025 results (year ended Jan 3, 2026; revenue \$1.87B, FCF \$212M); H1'26 10-Q (Jul 4, 2026: cash \$60M, debt \$101M, 73.0M shares, \$68.7M tariff-refund receivable; H1 revenue +8.4%). Bridge cash adds the refund receivable after 24.3% tax (~\$52M). Revenue as a growth-rate path off FY25; FCF = revenue x FCF margin; Gordon terminal. EV/FCF vs Helen of Troy (Hydro Flask) + Newell.

YETI Holdings 7 Powers · the moat, scored

Bear \$36.85 Base \$50.42 Bull \$73.66

Arena. Premium outdoor drinkware + gear — YETI (brand, ~60% DTC, drinkware + coolers + new bags/cookware) vs Stanley, Owala, Hydro Flask (Helen of Troy), RTIC, Newell; defending a premium brand Power in a fad-cyclical core.

POWER AUDIT
dominant-power durability: medium

POWER AUDIT · 7 POWERS

Scale Economies 	Sourcing/marketing leverage at ~\$1.9B revenue; modest vs housewares conglomerates.
Network Economies 	Community/ambassador affinity, not a hard network.
Counter-Positioning 	Premium incumbent; dupes counter-position on price.
Switching Costs 	Weak — drinkware is a discretionary, swappable purchase.
Branding · thesis leans here 	The dominant Power: premium pricing + outdoor credibility — durable in coolers/gear, contestable in viral tumblers.
Cornered Resource 	Brand IP + design + durability reputation; real but copyable.
Process Power 	Design/sourcing learning curve; modest.

PEER SET

Stanley (PMI/HAVI) US unit leader; viral surge cooling (~50% search decline 2025).	· private
Owala Fastest-growing brand (+~60% search); took the viral baton from Stanley.	· private
Hydro Flask (Helen of Troy) Cleanest public peer; Home & Outdoor was shrinking (~~7%), but company sales rose 8.2% in the May-2026 quarter and FY27 guidance was raised.	· 10% mgn · ~9x P/E
RTIC / private label Explicit price-dupe of YETI; arbitrages the premium.	· private

THREAT VECTORS · FALSIFIERS

Branding · Owala / Stanley / dupes falsifier: Management-reported US drinkware sales decline year over year in two consecutive quarters after the year-end re-baseline (FY26-FY27) as viral share rotates to Owala/Stanley.
Scale Economies · Tariffs / sourcing falsifier: Adjusted operating margin, excluding one-time tariff refunds, stays below 14% in both FY26 and FY27.
Counter-Positioning · Private label / RTIC falsifier: Sustained price competition forces YETI off its full-price model.

COMPETITIVE READ

YETI's brand Power is durable in coolers/outdoor gear but genuinely contestable in its fad-cyclical drinkware core (~58% of sales), where viral heat rotates (Stanley→Owala) and dupes arbitrage the premium. International (toward 25%) + new categories (bags/cookware) + margin recovery (China <5% of COGS) are the diversification offsets. At ~15x FY25 FCF the modal path sits ~18% above spot; the sign hinges on whether growth holds ~5% a year after FY26 (the low end of management's FY26-30 framework) as US drinkware re-baselines.

YETI Holdings show your work

Bear \$36.85 Base \$50.42 Bull \$73.66 · Weighted \$48.28 (+12.8%)

ULTRA BEAR					\$21.78	BEAR					\$36.85	BASE					\$50.42	BULL					\$73.66	ULTRA BULL					\$96.00						
ASSUMPTIONS						ASSUMPTIONS						ASSUMPTIONS						ASSUMPTIONS						ASSUMPTIONS											
5y revenue CAGR (%)					-1.0	5y revenue CAGR (%)					+2.2	5y revenue CAGR (%)					+4.6	5y revenue CAGR (%)					+7.0	5y revenue CAGR (%)					+9.4						
Year-5 op margin (%)					13.0	Year-5 op margin (%)					14.0	Year-5 op margin (%)					15.0	Year-5 op margin (%)					17.0	Year-5 op margin (%)					18.0						
WACC (%)					11.0	WACC (%)					10.0	WACC (%)					9.5	WACC (%)					9.0	WACC (%)					8.5						
Terminal growth (%)					0.0	Terminal growth (%)					1.5	Terminal growth (%)					2.0	Terminal growth (%)					2.5	Terminal growth (%)					2.5						
Terminal FCF (\$B)					\$0.18B	Terminal FCF (\$B)					\$0.25B	Terminal FCF (\$B)					\$0.30B	Terminal FCF (\$B)					\$0.39B	Terminal FCF (\$B)					\$0.47B						
Starting revenue (\$B)					1.87	Starting revenue (\$B)					1.87	Starting revenue (\$B)					1.87	Starting revenue (\$B)					1.87	Starting revenue (\$B)					1.87						
Scenario probability (%)					15	Scenario probability (%)					30	Scenario probability (%)					33	Scenario probability (%)					17	Scenario probability (%)					5						
5-YEAR DCF · \$B						5-YEAR DCF · \$B						5-YEAR DCF · \$B						5-YEAR DCF · \$B						5-YEAR DCF · \$B											
FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF		FY	Rev	Margin	FCF	PV FCF	
FY26	1.83	+11%	+0.17	+0.15		FY26	1.89	+12%	+0.19	+0.17		FY26	1.92	+13%	+0.21	+0.19		FY26	1.96	+14%	+0.23	+0.22		FY26	2.00	+15%	+0.26	+0.24		FY26	2.00	+15%	+0.26	+0.24	
FY27	1.79	+11%	+0.16	+0.13		FY27	1.92	+13%	+0.21	+0.17		FY27	2.02	+14%	+0.24	+0.20		FY27	2.12	+15%	+0.28	+0.23		FY27	2.20	+16%	+0.31	+0.26		FY27	2.20	+16%	+0.31	+0.26	
FY28	1.78	+12%	+0.16	+0.12		FY28	1.96	+13%	+0.22	+0.16		FY28	2.12	+14%	+0.26	+0.19		FY28	2.29	+16%	+0.32	+0.25		FY28	2.44	+17%	+0.37	+0.29		FY28	2.44	+17%	+0.37	+0.29	
FY29	1.78	+12%	+0.18	+0.12		FY29	2.02	+14%	+0.24	+0.17		FY29	2.23	+15%	+0.29	+0.20		FY29	2.45	+16%	+0.34	+0.24		FY29	2.68	+17%	+0.40	+0.29		FY29	2.68	+17%	+0.40	+0.29	
FY30	1.78	+13%	+0.18	+0.11		FY30	2.08	+14%	+0.25	+0.15		FY30	2.34	+15%	+0.30	+0.19		FY30	2.62	+17%	+0.39	+0.26		FY30	2.93	+18%	+0.47	+0.31		FY30	2.93	+18%	+0.47	+0.31	
Σ PV explicit FCF					+0.62	Σ PV explicit FCF					+0.83	Σ PV explicit FCF					+0.99	Σ PV explicit FCF					+1.19	Σ PV explicit FCF					+1.39						
+ PV terminal (g 0.0%)					0.96	+ PV terminal (g 1.5%)					1.85	+ PV terminal (g 2.0%)					2.63	+ PV terminal (g 2.5%)					4.03	+ PV terminal (g 2.5%)					5.32						
EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE						EQUITY BUILD · \$B & PER SHARE											
Operating EV					\$1.58B	Operating EV					\$2.68B	Operating EV					\$3.62B	Operating EV					\$5.22B	Operating EV					\$6.71B						
+ Cash & investments					\$0.11B	+ Cash & investments					\$0.11B	+ Cash & investments					\$0.11B	+ Cash & investments					\$0.11B	+ Cash & investments					\$0.11B						
– Total debt					\$0.10B	– Total debt					\$0.10B	– Total debt					\$0.10B	– Total debt					\$0.10B	– Total debt					\$0.10B						
= Equity value					\$1.59B	= Equity value					\$2.69B	= Equity value					\$3.63B	= Equity value					\$5.23B	= Equity value					\$6.72B						
FY30 shares (M)					73	FY30 shares (M)					73	FY30 shares (M)					72	FY30 shares (M)					71	FY30 shares (M)					70						
= Expected per share					\$21.78	= Expected per share					\$36.85	= Expected per share					\$50.42	= Expected per share					\$73.66	= Expected per share					\$96.00						
FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT						FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT											
+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		+5y	+10y	+15y	+20y		
\$36.70	\$61.84	\$104.21	\$175.60		\$59.35	\$95.58	\$153.93	\$247.91		\$79.37	\$124.95	\$196.70	\$309.66		\$113.34	\$174.38	\$268.31	\$412.82		\$144.35	\$217.05	\$326.38	\$490.76		\$186.86x	\$285.45x	\$438.68x	\$672.99x		\$244.37x	\$370.57x	\$555.85x	\$833.78x		
0.86x	1.45x	2.44x	4.10x		1.39x	2.23x	3.60x	5.79x		1.85x	2.92x	4.60x	7.24x		2.65x	4.08x	6.27x	9.65x		3.37x	5.07x	7.63x	11.47x												

YETI Holdings

People · Opportunity · Context · Deal

Bear \$36.85 Base \$50.42 Bull \$73.66

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Matt Reintjes

10 yrs in seat

18%

insider ownership

LOW

key-person risk

Capital allocation (realized)

No dividend; capital returned via buybacks — ~\$500M / ~13M shares repurchased over FY2024-FY2025 (~14% of shares out), incl. 8.2M shares / ~\$298M in FY2025; the board re-loaded the authorization to \$500M (May 2026), then repurchased 2.8M shares at a \$46.47 average (~\$131M) in Q2 FY26, leaving \$370M. M&A is small/tuck-in and cash-funded: Mystery Ranch (bags) + Butter Pat (cast-iron cookware), ~\$48.5M total cash (Q1 2024) — new-category capability, not transformational. The Q2 buyback, funded partly by a net \$30M revolver draw, took the balance sheet from ~\$114M net cash at FY-end to ~\$41M net debt at Jul 4 2026; capex funds capacity and new categories.

Incentive alignment

Reintjes FY2024 total ~\$7.8M (\$1.03M salary · ~\$1.67M bonus · ~\$5.12M stock) — ~85%+ at-risk/equity. LTI is 75% performance RSUs / 25% time RSUs; the PBRsUs vest on 3-yr cumulative free-cash-flow with a relative-TSR modifier (90%-of-target threshold, 200% cap, 3-yr cliff). Pay-for-performance, FCF + TSR-linked.

GOVERNANCE FLAGS

- single-class — one share, one vote (no super-voting / dual-class)
- combined Chair & CEO since Aug 7 2026 (Reintjes named Chair), mitigated by a Lead Independent Director (Robert Shearer, the prior independent Chair); board of 10, 9 independent
- classified / staggered board (three classes, three-year terms)
- founders no longer on the board — Roy Seiders resigned as a director eff. May 2021 (no disagreement); Ryan Seiders not a director
- founders retain large economic stakes (Ryan ~15%, Roy ~2%); Cortec Group (PE, majority 2012) fully exited; now institutionally held

PEOPLE READ

Professionalized and single-class: a 10-yr hired CEO on FCF + relative-TSR pay, a clean one-share-one-vote register with no controller and PE fully exited, buybacks (~\$630M since FY2024) and only small cash-funded tuck-ins. Scored 3, not 4: since Aug 2026 the CEO also chairs the board, and although a Lead Independent Director mitigates that, it now stacks on a classified board; the deep brand expertise still sits with the now-absent founders.

THE FOUR LEGS

People

observable composite · 1–5



Opportunity

The scenario distribution · the business snapshot · the Arthur Indicator

Context

The 7 Powers analysis (Power Audit)

Deal

Open-market common — entry price weighed against the probability-weighted fair value (the ~+13% finding; the modal base ~18% above spot, 45% of the probability below it), then position-sized.

YETI Holdings supporting analysis · disclaimers · glossary

Bear \$36.85 Base \$50.42 Bull \$73.66

PUSHBACK · WHY THE BASE CASE IS TOO GENEROUS

- 1 **US drinkware is flat.**
Q2 US drinkware was flat on a ~600bp drag from three trend SKUs; the risk is that the year-end 're-baseline' becomes the run-rate in a ~58%-of-sales category.
- 2 **Q2's margin beat was one-time.**
Gross margin of 66.7% (vs 57.8%) includes a ~\$43M one-time tariff-refund credit to cost of goods; excluding it, gross margin was roughly flat.
- 3 **SG&A is outrunning sales.**
Q2 SG&A rose 17.1% to 47.3% of sales (from 43.9%) on 8.5% sales growth; margin recovery needs that spend to pay off.
- 4 **Cash is tighter than it looks.**
A ~\$131M Q2 buyback took YETI to ~\$41M net debt; supplier-finance obligations rose to \$90M from \$54M in H1, flattering operating cash flow.
- 5 **H2 must beat H1 to hit the guide.**
FY25's Q4 had 14 weeks (\$583.7M); +7-8% for FY26 needs ~10-12% like-week H2 growth, above H1's +8.4%.

FALSIFICATION TRIGGERS

Bull validation international passes 25% of revenue · bags/cookware become reported needle-movers · adj op margin, ex one-time tariff refunds, recovers above 16% · FY26-30 FCF tracks above the \$1.4B top of management's framework	Bear validation US drinkware declines YoY in two straight quarters after the year-end re-baseline · Owala/Stanley/dupes keep taking share · FY26-30 FCF tracks below the \$1.2B framework floor · new categories stall	Reframe needed if drinkware brand heat structurally rotates away (the fad ends), re-rate the core toward a commodity-housewares multiple
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Forward-looking statements. Scenarios, valuations, projections, and any forward-looking statements involve substantial assumptions and uncertainty. Actual results may differ materially from those projected. Past performance is not indicative of future results. The model is a model; reality is not.	Author may hold positions. The author may own, intend to acquire, or hold short exposure to \$YETI or related securities at any time. Positions may change without notice and without an update to this document. Do not assume the author's positions match the tone of the analysis.	Do your own research. Do not make investment decisions on the basis of this document. Consult a licensed financial professional and read the company's official SEC filings (10-K, 10-Q, 8-K, proxy) before forming any investment view. If you wouldn't trust your retirement to a chatbot, don't trust this either.

GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Drinkware — YETI's tumbler/bottle core (~58% of sales, higher margin) — the fad-cyclical, most-contested category.	Mystery Ranch / Butter Pat — 2024 acquisitions: technical bags (premium-bag TAM \$9B+) + cast-iron cookware — the new-category diversification bets.	Dupes — Lower-priced look-alikes (RTIC, private label) + viral challengers (Stanley, Owala) eroding the drinkware premium.
Branding — Helmer Power: premium pricing + community/ambassadors + durability reputation — durable in outdoor, contestable in faddish tumblers.	FCF margin — Free cash flow / revenue (~11% FY25, tariff-compressed); the mature-DCF lever as margins recover.	